

Motivating Questions (Discuss in group of Five students for 10 minutes)

Conflict Management:

1. What is Conflict?
2. What are the causes of Conflict in your organization?
3. Is conflict good or bad? What is your justification for each?
4. How you tried to solve the conflicts?
5. What is Conflict Management?>>>>>>>>>>

The Concept of Conflict Management and Negotiation In Organizations

Definition of Conflict

- Conflict is a process that begins when one party perceives that another party has negatively affected, or is about to negatively affect, something that the first party cares about:
 - That point onward in an ongoing activity when an interaction “crosses over” the other party creates an interparty conflict.
 - It encompasses a wide range of conflicts that people experience in organizations because of :
 1. Incompatibility of goals,
 2. Differences over interpretations of facts, and
 3. Disagreements based on behavioral expectations.

Three Conflict Thought

1. Traditional View of Conflict

- It assumes that all conflict is harmful and must be avoided.

Causes of conflict in traditional view:

- Poor communication
- Lack of openness
- Failure to respond to employee needs



Conflict Thought ...cont'd

2. Human Relations View of Conflict

- The belief that conflict is a natural and inevitable outcome in any group

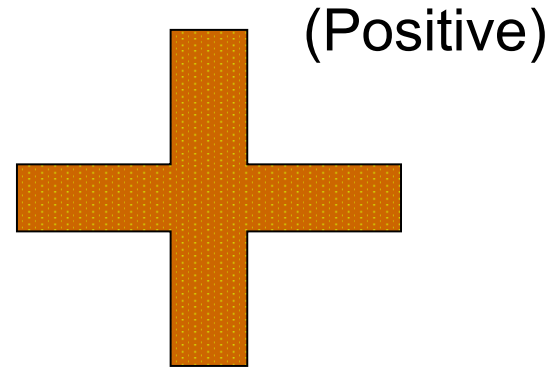
3. Interactionist View of Conflict

- The belief that conflict is not only a positive force in a group but that it is absolutely necessary for a group to perform effectively

Types of conflict: Functional versus Dysfunctional Conflict

Functional Conflict

- Conflict that supports the goals of the group and improves its performance
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Dysfunctional Conflict



(Negative)

- Conflict that hinders group performance

Types of Conflict...Cont'd

a.Task Conflict

- Conflicts over content and goals of the work
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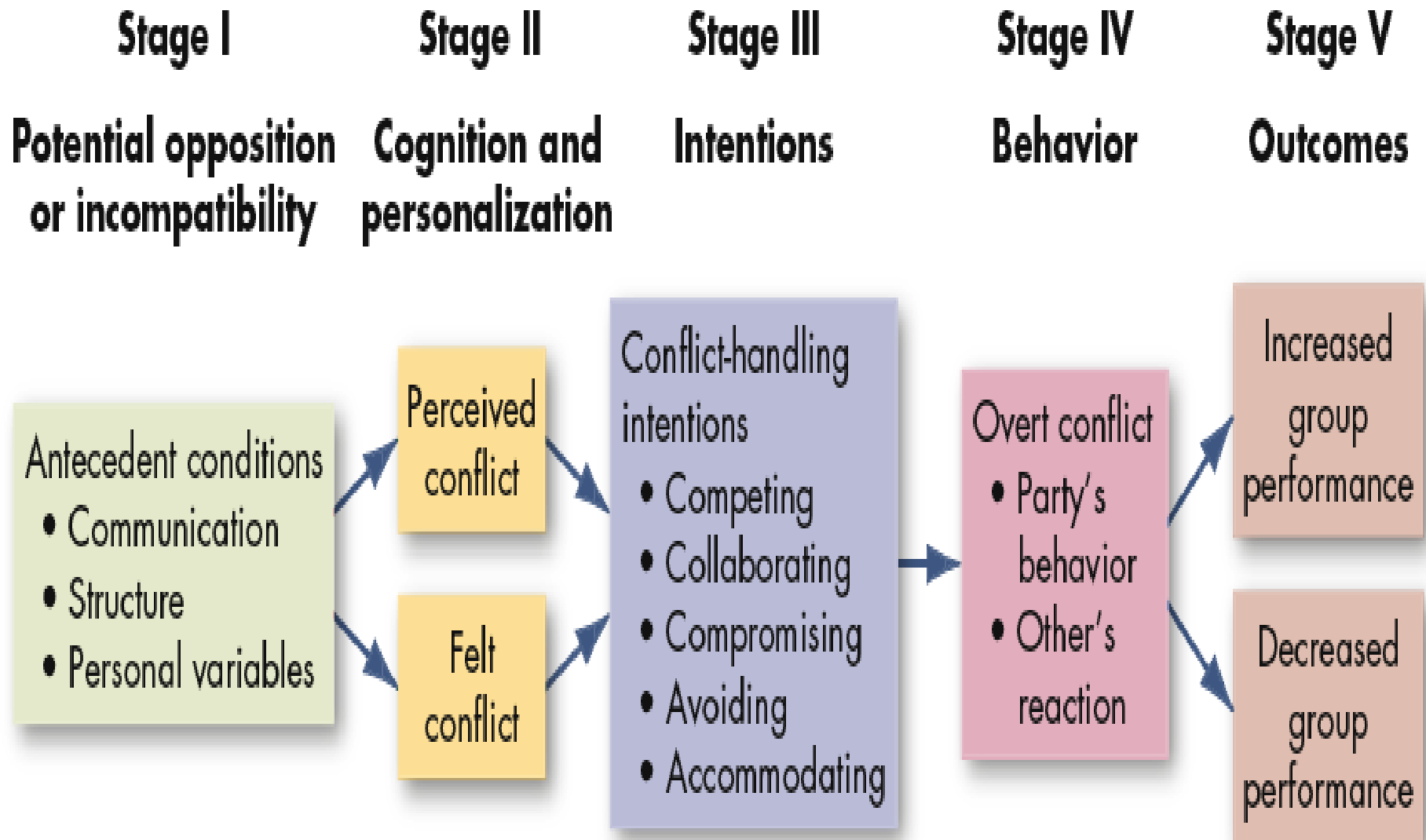
b. Relationship Conflict

- Conflict based on interpersonal relationships
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c. Process Conflict

- Conflict over how work gets done

The Conflict Process

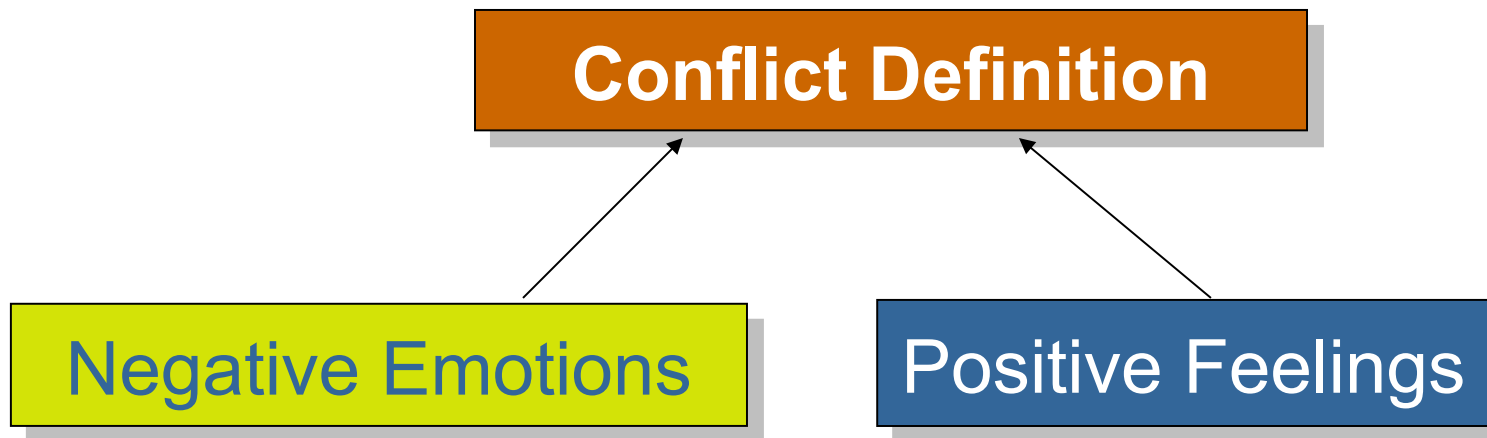


Stage I: Potential Opposition or Incompatibility

- **Communication**
 - Semantic difficulties, misunderstandings, and “noise”
- **Structure**
 - Size and specialization of jobs
 - Jurisdictional clarity/ambiguity
 - Member/goal incompatibility
 - Leadership styles (close or participative)
 - Reward systems (win-lose)
 - Dependence/interdependence of groups
- **Personal Variables**
 - Differing individual value systems
 - Personality types

Stage II: Cognition and Personalization

- **Perceived Conflict**
Awareness by one or more parties of the existence of conditions that create opportunities for conflict to arise
 - **Felt Conflict**
Emotional involvement in a conflict creating anxiety, tenseness, frustration, or hostility
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Stage III: Intentions

Intentions

Decisions to act in a given way

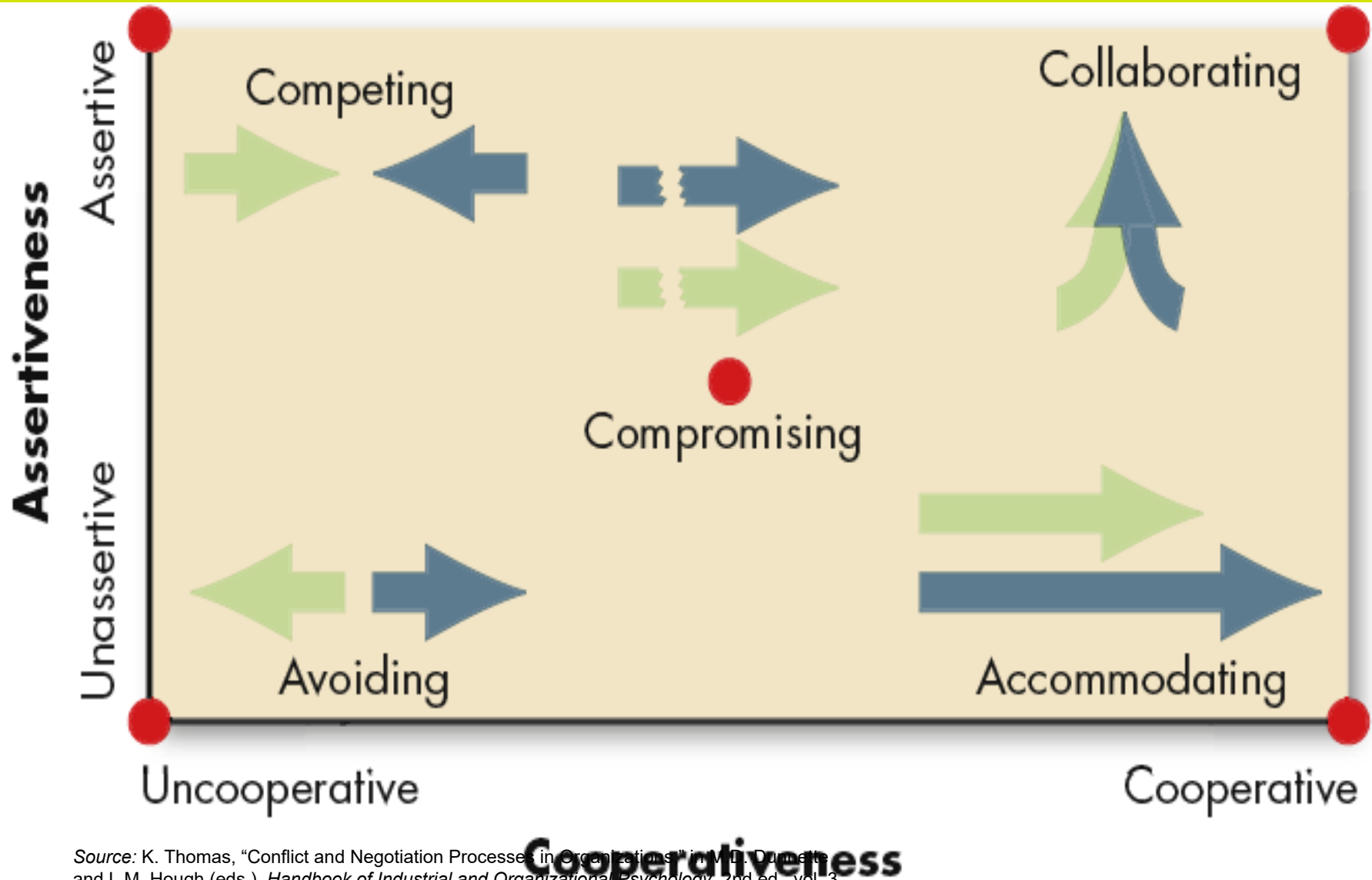
Cooperativeness

- Attempting to satisfy the other party's concerns

Assertiveness

- Attempting to satisfy one's own concerns

Dimensions of Conflict-Handling Intentions



Source: K. Thomas, "Conflict and Negotiation Processes in Organizations" in M.L. Dunnette and L.M. Hough (eds.), *Handbook of Industrial and Organizational Psychology*, 2nd ed., vol. 3 (Palo Alto, CA: Consulting Psychologists Press, 1992), p. 668. With permission.

Stage III: Intentions ...cont'd

Competing

- A desire to satisfy one's interests, regardless of the impact on the other party to the conflict
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Collaborating

- A situation in which the parties to a conflict each desire to satisfy fully the concerns of all parties
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Avoiding

- The desire to withdraw from or suppress a conflict

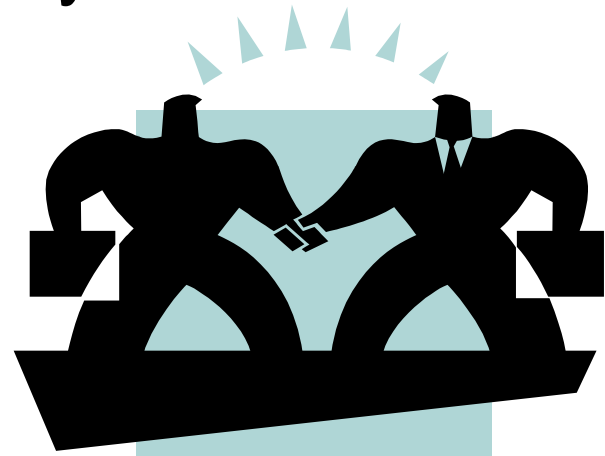
Stage III: Intentions (cont'd)

Accommodating

- The willingness of one party in a conflict to place the opponent's interests above his or her own
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Compromising

- A situation in which each party to a conflict is willing to give up something



Stage IV: Behavior

Conflict Management

- The use of resolution and stimulation techniques to achieve the desired level of conflict



Conflict-Intensity Continuum



Source: Based on S.P. Robbins, *Managing Organizational Conflict: A Nontraditional Approach* (Upper Saddle River, NJ: Prentice Hall, 1974), pp. 93–97; and F. Glasi, "The Process of Conflict Escalation and the Roles of Third Parties," in G.B.J. Bomers and R. Peterson (eds.), *Conflict Management and Industrial Relations* (Boston: Kluwer-Nijhoff, 1982), pp. 119–40.

Conflict Management Techniques

Conflict Resolution Techniques

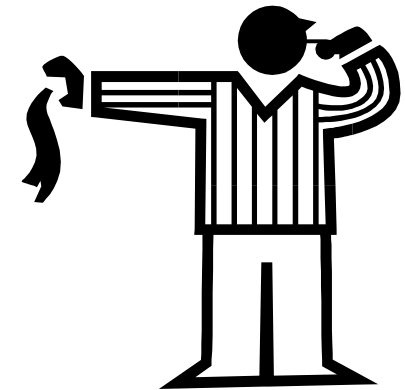
- Problem solving
- Superordinate goals
- Expansion of resources
- Avoidance
- Smoothing
- Compromise
- Authoritative command
- Altering the human variable
- Altering the structural variables

Source: Based on S. P. Robbins,
*Managing Organizational Conflict:
A Nontraditional Approach* (Upper
Saddle River, NJ: Prentice Hall,
1974), pp. 59–89

Conflict Management Techniques

Conflict Resolution Techniques

- Communication
- Bringing in outsiders
- Restructuring the organization
- Appointing a devil's advocate



Source: Based on S. P. Robbins, *Managing Organizational Conflict: A Nontraditional Approach* (Upper Saddle River, NJ: Prentice Hall, 1974), pp. 59–89

EXHIBIT 15–4 (cont'd)

Stage V: Outcomes

- Functional Outcomes from Conflict
 - Increased group performance
 - Improved quality of decisions
 - Stimulation of creativity and innovation
 - Encouragement of interest and curiosity
 - Provision of a medium for problem-solving
 - Creation of an environment for self-evaluation and change

Stage V: Outcomes

- **Dysfunctional Outcomes from Conflict**
 - Development of discontent
 - Reduced group effectiveness
 - Retarded communication
 - Reduced group cohesiveness
 - Infighting among group members overcomes group goals

Negotiation

Negotiation

A process in which two or more parties exchange goods or services and attempt to agree on the exchange rate for them.

BATNA

The **B**est **A**lternative **T**o a **N**egotiated **A**greement; the lowest acceptable value (outcome) to an individual for a negotiated agreement



Bargaining Strategies

Distributive Bargaining

Negotiation that seeks to divide up a fixed amount of resources; a win-lose situation

Exhibit 15-8



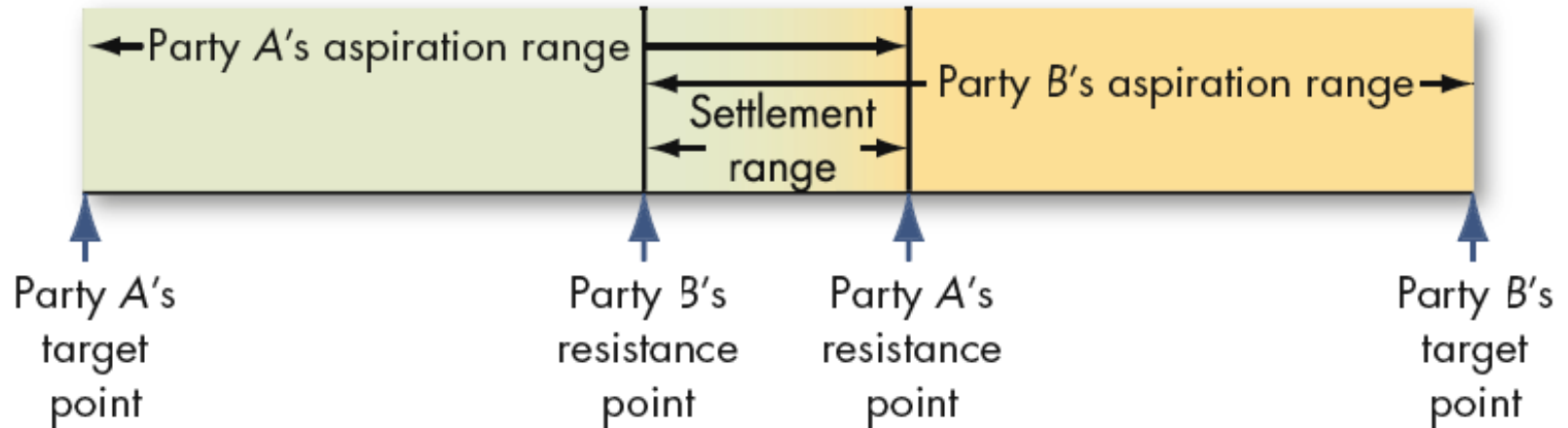
Integrative Bargaining

Negotiation that seeks one or more settlements that can create a win-win solution

Distributive versus Integrative Bargaining

Bargaining Characteristic	Distributive Bargaining	Integrative Bargaining
Goal	Get as much of pie as possible	Expand the pie
Motivation	Win-Lose	Win-Win
Focus	Positions	Interests
Information Sharing	Low	High
Duration of relationships	Short term	Long term

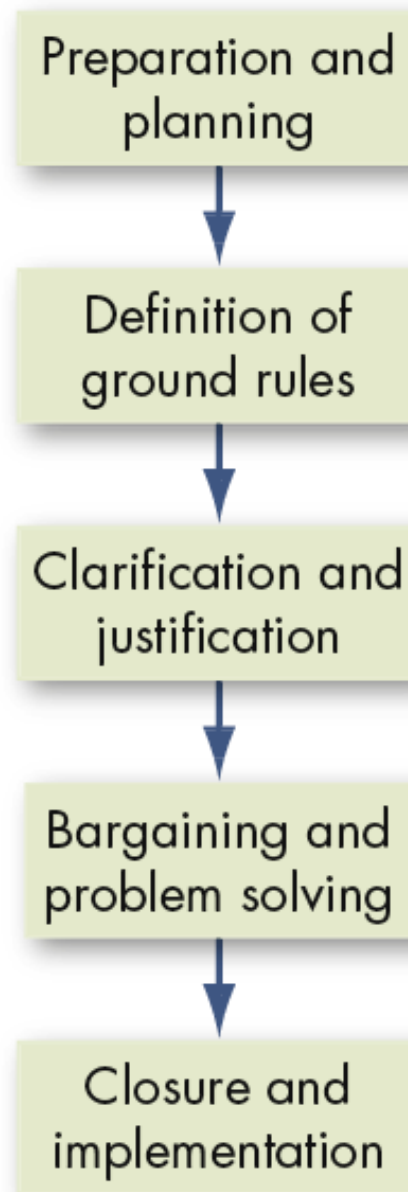
Staking Out the Bargaining Zone



The Negotiation Process

BATNA

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Issues in Negotiation

- The Role of Mood and Personality Traits in Negotiation
 - Positive moods positively affect negotiations
 - Traits do not appear to have a significantly direct effect on the outcomes of either bargaining or negotiating processes (except extraversion, which is bad for negotiation effectiveness)
- Gender Differences in Negotiations
 - Women negotiate no differently from men, although men apparently negotiate slightly better outcomes
 - Men and women with similar power bases use the same negotiating styles
 - Women's attitudes toward negotiation and their success as negotiators are less favorable than men's

Why American Managers Might Have Trouble in Cross-Cultural Negotiations

- Italians, Germans, and French don't soften up executives with praise before they criticize. Americans do, and to many Europeans this seems manipulative. Israelis, accustomed to fast-paced meetings, have no patience for American small talk.
- British executives often complain that their U.S. counterparts chatter too much. Indian executives are used to interrupting one another. When Americans listen without asking for clarification or posing questions, Indians can feel the Americans aren't paying attention.
- Americans often mix their business and personal lives. They think nothing, for instance, about asking a colleague a question like, "How was your weekend?" In many cultures such a question is seen as intrusive because business and private lives are totally compartmentalized.

Third-Party Negotiations

Mediator

A neutral third party who facilitates a negotiated solution by using reasoning, persuasion, and suggestions for alternatives

Arbitrator

A third party to a negotiation who has the authority to dictate an agreement.



Third-Party Negotiations...cont'd

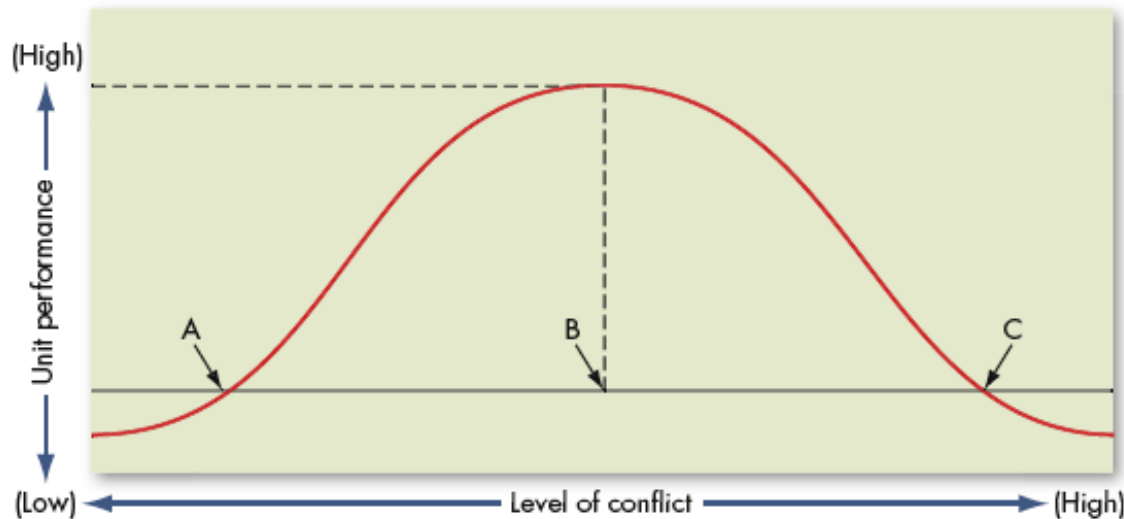
Conciliator

A trusted third party who provides an informal communication link between the negotiator and the opponent

Consultant

An impartial third party, skilled in conflict management, who attempts to facilitate creative problem solving through communication and analysis

Conflict and Unit Performance



Situation	Level of conflict	Type of conflict	Unit's internal characteristics	Unit performance outcome
A	Low or none	Dysfunctional	Apathetic Stagnant Nonresponsive to change Lack of new ideas	Low
B	Optimal	Functional	Viable Self-critical Innovative	High
C	High	Dysfunctional	Disruptive Chaotic Uncooperative	Low

Use Competition

- When quick, decisive action is vital (in emergencies); on important issues
- Where unpopular actions need implementing (in cost cutting, enforcing unpopular rules, discipline)
- On issues vital to the organization's welfare
- When you know you're right
- Against people who take advantage of noncompetitive behavior

Use Collaboration

- To find an integrative solution when both sets of concerns are too important to be compromised
- When your objective is to learn
- To merge insights from people with different perspectives
- To gain commitment by incorporating concerns into a consensus
- To work through feelings that have interfered with a relationship

Use Avoidance

- When an issue is trivial, or more important issues are pressing
- When you perceive no chance of satisfying your concerns
- When potential disruption outweighs the benefits of resolution
- To let people cool down and regain perspective
- When gathering information supersedes immediate decision
- When others can resolve the conflict effectively
- When issues seem tangential or symptomatic of other issues

Use Accommodation

- When you find you're wrong and to allow a better position to be heard
- To learn, and to show your reasonableness
- When issues are more important to others than to yourself and to satisfy others and maintain cooperation
- To build social credits for later issues
- To minimize loss when outmatched and losing
- When harmony and stability are especially important
- To allow employees to develop by learning from mistakes

Use Compromise

- When goals are important but not worth the effort of potential disruption of more assertive approaches
- When opponents with equal power are committed to mutually exclusive goals
- To achieve temporary settlements to complex issues
- To arrive at expedient solutions under time pressure
- As a backup when collaboration or competition is unsuccessful

Chapter Check-up: Conflict

By standing on the printer, what conflict resolution technique might this man (Tom Alexander) be employing?

Authoritative command

Superordinate goal

Expansion of resources

Compromise



By shifting the focus of the meeting to the overall organizational competitiveness being threatened because of the excess strength being built into the printers, he directed the attendees to a superordinate goal of the organization remaining competitive.

Chapter Check-up: Conflict

Suppose you are a staunch Democrat and your uncle is a Republican. Every time he sees you, he tries to pick a fight about politics and “those stupid liberals.” According to this chapter, what conflict handling intention should you use in dealing with him?

Competing

Collaborating

Accommodating

Avoidance

Discuss with your neighbor under what circumstances (if any) you should shift to an accommodating intention (when talking with your uncle).

Chapter Check-up: Negotiation

Discuss the concepts of BATNA and resistance point with your neighbor.
What similarities are there between the two? Differences?